

ORIGINAL ARTICLE



WILEY

Change leadership and change embeddedness in public organizations: Connecting macrolevel reform to microlevel implementation

Malcolm J. Higgs¹ | Ben S. Kuipers² | Bram Steijn³

¹Hull University Business School, UK

²Leiden University, The Netherlands

³Erasmus University Rotterdam,
The Netherlands

Correspondence

Ben S. Kuipers, Institute of Public
Administration, Leiden Leadership Centre,
Leiden University, P.O. Box 13228, 2501 EE
The Hague, The Netherlands.

Email: b.s.kuipers@fgga.leidenuniv.nl

Abstract

Governments initiate major public sector reforms for various reasons. Although change leadership appears crucial, its role in implementing reforms in public organizations receives scant attention. Insights from public administration and change management literature help to bridge the gap between these macrolevel and microlevel perspectives. Our multilevel study of two youth care organizations addressing public sector reform explores how leadership behavior—and in interaction between top and middle managers—contributes to the concept of what we call *change embeddedness* among front-line employees. The use of leadership behaviors during the reform that are leader centric (*shaping*) appear to be associated with greater ambiguity and worse change embeddedness. However, leadership focused on *engaging* employees and *boundary spanning* with external organizations seems to support the embeddedness of the reform, especially when these behaviors are connected to a clear sense of purpose around the change.

1 | INTRODUCTION

Public organizations are continuously challenged to change as they operate in a volatile, uncertain, complex, and ambiguous (VUCA) world (Van der Wal, 2017). Kuipers et al. (2014) stress that understanding the way external context informs the implementation of change and its leadership within public organizations is crucial to develop both

This is an open access article under the terms of the [Creative Commons Attribution-NonCommercial-NoDerivs](https://creativecommons.org/licenses/by-nc-nd/4.0/) License, which permits use and distribution in any medium, provided the original work is properly cited, the use is non-commercial and no modifications or adaptations are made.

© 2022 The Authors. *Public Administration* published by John Wiley & Sons Ltd.

the literature and practical approaches to change. Following them, the role of context in change within public organizations must be understood better by looking at the relationships between *macrolevel* characteristics (reforms based on political decisions affecting an entire sector), organizational *mesolevel* characteristics (actions of senior management impacting the organization as a whole), and the *microlevel* characteristics (the individual level where new routines and behaviors need to be implemented). It is particularly at the individual level within the organization where the change is being experienced and takes shape, and where the achievement of its goals can be determined (Higgs & Rowland, 2011). Or as Vogel & Masal (2015, p.1181) put it: “In the transition from micro-level leadership to macro-level outcomes, changes in the behaviour of followers are often the missing link.”

In this respect, the significance of leadership in the context of change has been highlighted by many authors in the field of management and public administration (Kuipers et al., 2014; Vogel & Werkmeister, 2021). This view is well articulated by Gill (2002, p. 307): “While change must be well managed ... it also requires effective leadership to introduce change successfully: it is leadership that makes the difference.” However, it is also asserted that studies of leadership in general, and studies of change leadership in particular, have tended to be largely acontextual (Pettigrew et al., 2001; Zhu et al., 2019). In a seminal review of the leadership literature, Avolio et al. (2009) commented on the need for more work that explores the relevance of leadership models and theories within different contextual settings and at different levels. Over the past decade, we can still observe that there is a lack of integration of context within leadership studies (Vogel & Masal, 2015).

In this article, we aim to make three contributions to the literature. *First*, to add to the knowledge about the specific nature of the public context in relation to change and its leadership. We do this by exploring the interactions between “micro- and sector-level changes” (Kuipers et al., 2014, p. 17). This emphasis reflects broader critiques of the leadership literature that suggest that a full understanding of the phenomenon requires empirical work that explores leadership by employing multilevel analyses (Batistič et al., 2017). *Second*, to improve our understanding of the repertoire of change leadership behaviors used by managers within public organizations dealing with reform. As Ford and Ford (2012) report, very few studies even consider change leadership behaviors in the generic management literature, whereas such behaviors are “key to successful change” (see also Zhu et al., 2019). Therefore, we will explore the range of change leadership behaviors by integrating insights from both (generic) leadership and the public administration literature. *Third*, to add to the theory of how we can consider the way change becomes embedded in a public organization. The determination of change success is widely debated (Hughes, 2016) and considered to be particularly difficult in a public sector context when dealing with a diversity of values (Kuipers et al., 2014). Although, there seems to be consensus on the impact of attitudes and behaviors by individual actors (Holt et al., 2007) on the effectiveness of change, few studies consider the phenomena at an integrated level in relation to the behaviors of leaders (Higgs & Dulewicz, 2016). For this, we introduce the concept of *change embeddedness* building on the literature on change attitudes and behaviors (Oreg et al., 2011), together with the notion of social embeddedness (Van Emmerik & Sanders, 2004) and adding a group-level perspective.

Given the above concerns and aims, our overall research question is as follows:

What is the role of change leadership behavior in enabling macrolevel reform to achieve embedded change at the microlevel in public organizations? To answer this question, we first explore the literature on change leadership in the context of reform and explore how we can approach the embeddedness of change in organizations. Subsequently, we introduce our study designed to explore the implementation of macrolevel public sector reform, as well as the roles and behaviors in implementing this at the meso level and embedding required change through behaviors at the micro level. We use the reform of the youth care sector in The Netherlands as an excellent opportunity to study this. In this reform, an example of a New Public Governance reform (Pollitt & Bouckaert, 2017), the responsibility for youth care is decentralized from the national to the local government level. This involves both a new role for the 390 Dutch municipalities, and for the 199 youth care organizations employing about 30,000 people throughout the country. In Section 4, we will further describe this reform and the two youth care organizations we identified as a sample for our study. We then present and discuss our findings and derive a number of directions to further advance the theory and research and to provide practical angles for change leadership in a reform context.

2 | CHANGE LEADERSHIP AND PUBLIC SECTOR REFORM

As Pollitt and Bouckaert (2017) note, reform is an important area of attention for public managers demanding a clear role from them in dealing with the accompanying contradictions and trade-offs. Fernandez and Rainey (2006) were among the first to specifically address this role as an aspect of change management in a public sector context. Furthermore, there is increasing recognition that successful change implementation in public sector organizations is significantly impacted by leadership behaviors (Kuipers et al., 2014). As Vogel and Werkmeister (2021, p. 175) conclude: “The ability and motivation to prepare, implement, and motivate change has been considered an increasingly critical aspect of leading public organizations”. In particular, Karp and Helgø (2008) stress the role of change leadership in public organizations, which must deal with complexity and chaos as a result of, among other things, the multitude of accountabilities and stakeholders as well as the ambiguity that arises from competing values.

Although scholars agree that leaders play a significant role in change implementation, there is a paucity of empirical work that specifically examines the relationships between leadership behaviors and change implementation (Ford & Ford, 2012). Therefore, we consider the broader leadership literature to identify relevant frameworks for exploring change leadership in a public context by starting with Yukl's (2012) integrative behavioral taxonomy. He distinguishes behavioral components that are *task-oriented* (clarifying, planning, monitoring operations, and problem solving); *relations-oriented* (supporting, developing, recognizing, and empowering); *change-oriented* (advocating change, envisioning change, encouraging innovation, and facilitating collective learning); and *external* (networking, external monitoring, and representing). We found that the relational and change elements of this taxonomy align with the work of Higgs and Dulewicz (2016) and Higgs and Rowland (2011), who examined change leadership behaviors that serve different types of change and their impact on outcomes. Higgs and Dulewicz (2016) distinguish between behaviors concerning *engaging leadership* (identified as essential for the successful implementation of radical change), *involving leadership* (based on transitional rather than radical change), and *goal leadership* (delivering results within a stable context). In a similar vein, Higgs and Rowland (2011) found distinct relationships between three broad categories of leader behavior and success in implementing large-scale and complex change. Their *framing behaviors* (involving others in setting direction, skill development, empowering, and trust building), and *creating capacity* (coaching, providing feedback, and creating a positive climate) closely relate to engaging and involving leadership (Higgs & Dulewicz, 2016). *Shaping behaviors* (providing direction, role modeling, expending effort, and holding others accountable for delivering tasks) closely link to the above-mentioned goal leadership.

Higgs and Rowland (2011) found that shaping behavior had a negative impact on large-scale and complex changes, whereas it had a positive impact on small-scale, first-order changes. Similarly, Higgs and Dulewicz, (2016) note that the context that warrants the goal-oriented style (i.e., stability) is increasingly scarce due to the VUCA environment. The authors further suggest that *involving* and *engaging* behaviors appear to be important for achieving success in change implementation in complex and large-scale settings, whereas a more “traditional” leader-centric approach appears to be effective within more stable contexts and first-order changes.

Interestingly, Yukl's (2012) work in terms of the *externally oriented* category does not appear in the work of either Higgs and Rowland or Higgs and Dulewicz, although both refer to the importance of leaders connecting with the external environment. Vogel and Masal (2015) observe how public leaders need to develop their abilities to deal with environmental changes increasingly. Therefore, Yukl's (2012) external behavior (focusing on boundary spanning) seems to be an appropriate addition when considering leadership behaviors in this context. When adding the “network approach” of change leadership by Van der Voet et al. (2015), we see external behaviors during large-scale change in public organizations at executive and middle management levels, such as “collecting information and input from societal stakeholders,” as well as “explaining environmental dependencies and developments to subordinates” (2015, p. 297). In sum, we consider the combination of the abovementioned frameworks in Table 1 identifying four categories of change leadership behavior useful in a reform context. Next, we explore the literature on employee's experiences and subsequent behavioral responses to leaders' behaviors to understand the embeddedness of change within lower organizational levels as a multilevel phenomenon (Batistič et al., 2017).

TABLE 1 Categories of change leadership behavior in a context of public sector reform

Change leadership behavior categories	Related conceptualizations of (change) leadership			
	Dulewicz and Higgs (2017)	Higgs and Rowland (2011)	Van der Voet et al. (2015)	Yukl (2012)
Shaping: Directing the change process by clarifying, planning, monitoring operations, problem solving	Goal-oriented	Shaping		Task-oriented
Involving: Relating others to the change goals and involving in how the goals will be achieved	Involving	Framing		Relationship-oriented
Engaging: Empowering others to create the change, both in terms of directions and in creating capabilities to achieve these	Engaging	Framing and creating		Change-oriented
Boundary spanning: Networking with external stakeholders, external monitoring, and explaining and connecting to others	—	—	Network approach	External (boundary spanning)

3 | CHANGE EMBEDDEDNESS

To date, research has generally acknowledged that change recipients play a key role in determining whether a change will succeed (Oreg et al., 2011). A range of different concepts have been used to explore this issue, including concepts that stress the negative feelings of change recipients (resistance to change or change cynicism—Reichers et al., 1997) as well as concepts that stress a positive approach to change (readiness to change—Armenakis et al., 1993). In their review of the literature, Oreg et al. (2011) identified, based on Piderit (2000), three dimensions of explicit reactions: an affective (feeling), a cognitive (thinking), and a behavioral (intention) dimension.

In studying reactions to change from a positive perspective, change readiness concepts seem to be an obvious choice (Rafferty et al. 2013). Armenakis et al. (1993, p. 683) defined these as “beliefs, attitudes, and intentions regarding the extent to which changes are needed and the organisation's capacity to successfully undertake those changes.” This appears to include the three dimensions discerned by Oreg et al. (2011). However, Rafferty et al. (2013) note two important problems with the concept. First, the literature that applies it has only measured the cognitive aspect. Second, researchers who use the concept have not adopted a multilevel perspective. In the words of Rafferty et al. (2013, p. 116), “organisational change initiatives involve the implementation and adoption of change initiatives at multiple organisational levels.” In this respect, they advocate the use of a *work group's* change readiness.

While we agree with Rafferty et al.'s (2013) proposal, we note that it omits the behavioral component of recipient reactions. Therefore, we propose the concept of *change embeddedness* that includes all three dimensions proposed by Oreg et al. (2011). This new concept builds on the argument in the literature on social embeddedness that states that employees are embedded in a social environment (Van Emmerik & Sanders, 2004) and are linked to their co-workers. In the literature on institutional change, social embeddedness is primarily seen as a hindrance to change. However, Reay and Hinings (2009) argue that it could also provide a basis for (shared) action and an opportunity to implement desired change. Our argument is that this happens when all three dimensions of change reactions coexist within a work group. Change embeddedness can therefore be defined as: *a situation where members of a workgroup or team collectively have positive feelings about a change (affective), understand the change and think positively about it (cognitive) and have the intention to exhibit behavior in accordance with the desired change.* We suggest that this

definition will enable distinctions to be drawn between levels of embeddedness of change in different organizational settings.

We conclude that, based on the literature, change leadership behaviors on the organizational mesolevel as summarized in Table 1 are expected to have an important role in implementing the macrolevel public sector reform on the microlevel among front line workers in terms of change embeddedness.

4 | METHODS

Avolio et al. (2009) note that the dominant approach to leadership studies entails quantitative designs, and they call for greater use of qualitative studies to develop further insights. Following this call, we explored the above research question through the adoption of a critical realist paradigm (Bhaskar, 1998) employing a cross-sectional design and comparing two cases using a multilevel approach.

4.1 | Sampling

To identify the sample for this study, a “purposive” approach was adopted (Hair et al., 2002). When selecting organizations, we looked for those that faced the same overall reform but were likely to use different leadership approaches to implementation of change (see below). We applied the following case selection criteria (Hair et al., 2002): (i) similarity in size, (ii) serving a similar number and type of municipalities, (iii) similarity in type and range of stakeholders, (iv) similarity in structure, with sufficient hierarchical levels to enable a multilevel study, and (v) applying a different implementation strategy and leadership to deal with the reform. After applying these, we identified two organizations that agreed to participate in the study. The first serves 16 municipalities in the Dutch province of North Holland. We refer to this organization as “North Holland Care” (NHC). The second provides youth care services in 17 municipalities in the province of South Holland. We refer to this organization as “South Holland Care” (SHC). Both organizations employ approximately 600–700 caregivers and support staff. NHC and SHC both offer general preventative as well as specialized care, such as foster care. In NHC, we were granted access to study the division providing preventative care in home situations (“Prevent”) and the division providing protected care in a youth institute (“Protect”). At SHC, we obtained the opportunity to study two departments within their division for preventative care.

4.2 | Data collection

To obtain a multilevel design, we conducted (a) interviews with the top managers of both youth care organizations (one at NHC and two at SHC), (b) interviews with two division heads per organization (four in total), and (c) four focus groups of caregivers (one group of representatives per working unit—19 caregivers in total) each reporting directly to one of the division heads, to allow for the study of change embeddedness as a team-level construct. See the overview in Table 2.

The limitations of the use of retrospective recollection in interviews are widely discussed (Miles & Huberman, 1994). To ameliorate these, we adopted a critical incident approach to the interviews (Butterfield et al., 2005). The main incident was the reform itself. In the interviews, we asked respondents to share their in-depth stories based on key incidents in the process of implementing the change (such as: important meetings between management and caregivers about the reform, and information sharing about both the process and outcomes of negotiations with municipalities with the rest of the organization). We explored each of these asking about how it impacted them and how others reacted. This entailed asking the interviewees to provide specific examples of behaviors and responses for each incident, as well as providing a description of its context. By probing for multiple examples, the problem associated with interviewees “smoothing” the stories was ameliorated if not eliminated

TABLE 2 Data collection

	North Holland care	South Holland care	Total of respondents	Total of methods
Top managers	1	2 (double interview)	3	2 interviews
Middle managers	1 for Prevent 1 for Protect	2	4	4 interviews
Care givers	Focus group of 4 (Prevent) Focus group of 5 (Protect)	Focus group of 5 Focus group of 5	19	4 focus groups

(Butterfield et al., 2005). In discussing specific examples, we ensured that we captured respondents' actual experiences and behaviors. In doing this, we ascertained (i) the context of the story, (ii) the actions and behaviors of the leader, (iii) the impact of the behaviors on others, and (iv) the leader's reactions to the outcomes of actions and interactions. Each of the interviews lasted 1–2 h and was conducted in the interviewee's workplace in accordance with the guidelines of both the British and American Psychological Societies (APA and BPS). Interviews were recorded and transcribed. We also took field notes during the interviews to supplement our interview data.

The focus groups were conducted after the interviews. Within the focus groups, respondents were encouraged to challenge each other with questions, provide examples of particular situations and formulate their experiences within their working unit (Morgan, 1996). This method showed its value during the focus group settings as the relatively abstract goals of a particular public sector reform could be translated into the daily reality of caregivers in their teams. In each group, a few topics were listed on a flipchart (the reform, change leadership, your feelings, knowledge, and behaviors in relation to the reform), and respondents were encouraged to discuss these with regard to their working unit. The researchers facilitated the conversation to ensure that all individual views were heard and participation was not dominated by a few respondents (Blaikie & Priest, 2019).

4.3 | Trustworthiness

We maximized the trustworthiness of our data by (i) taking written notes during interviews and focus groups to check our understanding of what was said and to clarify any early inferences drawn in interviews, (ii) checking data gathered from the interviews and focus groups about decisions and actions that used information contained in any relevant project documents provided to triangulate findings (Strauss & Corbin 1990), and (iii) establishing reliability in the coding process, which included double-coding of all transcripts from the NHC case and one interview transcript of the SHC case (Blaikie & Priest, 2019). When coder alignment of less than 80% arose, the transcript went to a third coder for adjudication of differences. Finally, summaries of the coding from each coder were reviewed by a separate researcher to check for any apparent consistent biases.

4.4 | Coding and data analysis

All interviews and focus groups were recorded and transcribed with the interviewees' and focus group participants' permission. Transcripts were analyzed employing an iterative approach that encompassed both a priori coding schemes (based on the literature) and emergent themes (based on a first coding by the interviewers) (Blaikie & Priest, 2019; Strauss & Corbin 1990). A priori coding schemes included characteristics of the change leadership behaviors (Table 1) among top and middle managers and the embeddedness of the change among employees (affective and cognitive experiences about the reform and the intention to exhibit behavior in accordance with the change). Based on the coding of the interviews, we found that the behaviors of both top and middle managers had to be put into the context of how they looked at the reform and the role of their organization in it. In other words, in line with the broader arguments in

the leadership literature, their experience of the context was an important element that informed their behavior. One particular and unexpected theme that emerged from the interviews during the coding process was *the purpose of the organization*. In our analyses, we will elaborate on the role of purpose during the change process. An overview of our coding in relation to our observations for the two cases are highlighted in Appendix S1.

4.5 | Background of the reform and cases

The youth care reform is part of a series of three public sector reforms in the social domain in The Netherlands, all of which aim to decentralize budgets and responsibilities (Van der Voet et al., 2017). The series of reforms can be placed in the context of the so-called New Public Governance reforms (Pollitt & Bouckaert, 2017), putting more emphasis on the participation of various stakeholders such as municipalities, youth care organizations, clients, and the wider formal and informal care network. The domain of youth care largely involves child protection and both preventative and specialized support for well-being and pedagogical and social questions related to children and youth. The aim of the reform is to facilitate the development of more integrated care provision that focuses on local needs and with more emphasis on prevention. This change means that all municipalities need to adapt to the new laws, build their own new policies, structures, and systems and develop the capabilities to deliver a higher quality of local youth care with lower budgets. This has led to changes in contractual arrangements with provider organizations. For these organizations, this implies a need to develop new ways of working, potentially significant changes in budgets and, in many cases, a need to develop new care-providing portfolios. Furthermore, the reform aims to bring professionals closer to their clients and changes their role in the process from care delivering to overseeing the youth care process and monitoring the other actors involved, thereby potentially expanding their professional autonomy.

This reform context is the same for both cases. Furthermore, both organizations operate in an environment with a dominating large city and a comparable number of smaller surrounding municipalities. This geographical context demands that both organizations apply a district approach since each municipality defines its own policies, budgeting, and procedures, in which the major city plays a dominant role. The district approach means that teams, which are managed by the municipality, and care providers from various organizations need to work together. In the case of SHC, teams in the city districts must focus on both youth and elderly care. This puts extra demands on the care providers in these teams as they need to organize care for people of all ages. Otherwise, both organizations largely deal with the same needs and restrictions. However, NHC chooses to rely on an organizational model of self-managing teams. This means that their caregivers have a great deal of responsibility for managing their own care process as a team. Furthermore, NHC promotes a climate where the organization is considered the home base for all employees and is supported by a large range of activities for learning, sharing expertise, and teambuilding. SHC relies much more on the district teams within the municipalities, where the type of organization and responsibilities are determined. The district teams are considered the home base for employees.

5 | FINDINGS

In the sections below, we explore in more detail the results of the two case studies based on the findings of the interviews and focus groups, after which we present our case comparison and analysis.

5.1 | North Holland care

The *top manager* of NHC experienced the youth care reform positively. The aims of the reform were very much in line with the vision and purpose of the organization: to empower clients and rely on prevention. The manager talked

about the reform with middle managers and employees in both small and large group settings and organized meetings and personal talks. One of the issues identified was the need to create greater awareness of the costs of service provision and the need to focus on adding value. The top manager was convinced that *involving* employees was a basis to create more efficiency by sitting down with caregivers to start a dialog to see what this meant and how this could be used in their work:

“When you talk about it, it seems very easy, but when you're working on it, it's very hard, I can tell you. So we [the management] had all the flip-overs with all the prices and all the people working for it and all the schemes to get it arranged. And afterwards we started talking with the people, the employees or the social workers working in the programmes, to make them conscious of the costs of their part of the work.” (Top Manager NHC)

Furthermore, the manager's concern was the agenda and attitude of the municipalities in relation to their new role. Therefore, the top manager was very active in *boundary spanning* by preparing the municipalities prior to the implementation of the reform. The manager initiated meetings with the municipalities to get the important issues of youth care on the agenda, as the experience was that the municipalities had too little understanding of what youth care was about and therefore what was needed to organize the shift of responsibilities toward municipalities.

At the same time, the internal focus was on engaging employees in the reform. The manager informed all employees about the progress made and the negotiations with the municipalities by sharing tweets, sending newsletters and organizing sessions for questions and reflections. The way the top manager worked provides a good example of the *engaging* approach adopted throughout the preparations for the reform. The openness toward employees about all aspects of the change was pivotal to the success of the change, as reported by the other managers and employees. In addition, the top manager simultaneously worked on embedding the employees' identification with the organization by fostering the organization's purpose and preserving the organization's identity in the changed environment.

“I think some of the programmes we offer may no longer exist when you think on a longer term. So I can't give comfort to the employees that things will go on in the same way. But I see that for many people, they work very well because they are part of an organisation. So being part of [NHC] gives them much energy and much power to do things.” (Top Manager NHC)

From the interviews with the division heads of both Protect and Prevent as well as the focus groups with caregivers, it became evident that they shared this positive view of the reform and were committed to “making it work.” They also described leadership behaviors that focused on *engaging* and demonstrated high levels of commitment to the change. These behaviors were shown in formally organized meetings and during informal conversations with caregivers, where the managers created time and opportunity to reflect, openness about the change processes and together with caregivers discussed steps that needed to be taken to explore the new ways of working. These behaviors were set in the context of *boundary spanning* through negotiations with the municipalities. They made it clear to employees that the commitment to the provision of a high-quality service required making some difficult decisions.

“So, I have discussed with them [that] if the external world is changing - that we can't stay the same - that we also have to change. That's inevitable. And they agreed. So we talked about that; how are we going to change, and how are we going to transform in parallel with the transformation in the outside world?” (Division Head “Protect” NHC)

The division heads communicated openly and clearly that the changes would require a culture change using a combination of *involving* and *engaging* behaviors. There was a recognition that some employees may be unable to commit

to the new culture and associated changes. To deal with this, they had open discussions. When employees felt unable to commit to the new ways of working, the division heads worked with the employees to develop or to support their pursuit of alternative careers. Here, we can see that the leader behaviors and style of the top manager had a direct influence not only on the immediate followers but also on the employees.

The embeddedness of the change among employees was similar in both groups and was comparable to the way the division heads experienced the change. Additionally, the employees had a shared experience based on the way the managers accompanied them in the change and tried to make the best of their negotiations with the municipalities:

“Our management has put a lot of effort in standing there for us as employees and really saying, ‘We’ve got high-quality employees and we’re fighting for them.’ And that was certainly the case with the [municipalities] – they were not easily persuaded.” (Employee “Prevent” Division NHC)

A difference between the two groups was that in the focus group in the “Protect” division, employees needed more time to reflect on the focus of the decentralization. A second difference was that the “Protect” employees experienced a very new context. As the children in their protected home originated from various municipalities, a consequence of the decentralization was that they had to deal with the different policies of various municipalities. In addition, many of the municipalities did not have all procedures in place and were careful about their budget for youth care. A formerly simple case of acquiring €150 for a client to buy shoes and a winter coat now became a problematic issue as municipalities debated who should pay. As a result, the “Protect” employees felt burdened by the large amount of time they needed to spend on bureaucracy and, most importantly, the frustration that this time could not be spent on their clients.

5.2 | South Holland care

The top management of SHC comprised two people who worked closely together. During the shared interview, they agreed with each other, referred to each other, and complemented each other's contributions to the discussion.

To be well prepared for decentralization, the top managers initiated several structural changes in anticipation of the demand for generalist teams and the focus on preventative care. During this change process, there were redundancies, and employees were put into new generalist teams. The top managers exhibited *shaping* behavior by organizing informational meetings and study days to communicate the changes to the employees. The focus of these meetings was on explaining the newly designed structures and not to give voice to caregivers to provide their inputs.

During the implementation of the reform, the organization transferred its employees to district teams, similar to the Prevent division of NHC. The top managers were concerned about whether their employees would feel at home in their new environment. Furthermore, many aspects of the change remained unclear, including new processes and rules about case processes and more technical processes as registration systems were in development. Their response to this uncertainty was to ensure that employees would take on new responsibilities by exhibiting *shaping* behavior with both middle managers and caregivers by specifying to them the new way of working:

“So, when an employee is responsible for a case, he shouldn't think, ‘I'm finishing the case, and if no one tells me anything, then I've got an easy time.’ No, you are responsible for your complete case. A supervisor also manages his team on those issues, but he does need to know what the whole structure around financing, workload, etc. looks like.” (Top Manager SHC)

The two *middle managers* discussed the issues they encountered together and had regular contact with top management. There were weekly meetings between them, the board and other SHC managers. The managers were involved in developing new tactics for coping with the decentralization. This had not always been the case:

“Since recently, there are meetings now where we talk about it [the vision and where we are heading] ... It actually gives me the feeling now that I can think along and have a say in where we are heading as an organisation.” (Middle Manager SHC)

The middle managers experienced a decline in the identity and role of the organization with the growing importance of the new district teams organized by the municipalities. However, the extent of this shift varied between municipalities in terms of the extent to which they were involved in the decision-making processes. The middle managers covered the behaviors of *boundary spanning* when they experienced a lack of this type of behavior from the top management level. When new procedures were unclear and a municipality did not have a clear way forward, the middle managers provided frameworks for their employees by telling them to do it the old “SHC way.” Many aspects of the reform remained unclear to them, and they felt as if they were “pioneering.”

As with the top management, the middle managers tried to engender a new way of thinking among their employees. As a consequence of their new “individual” position in the district teams, the responsibilities of employees increased. Both managers struggled with how to keep in touch with their employees and how often they should reach out to them and shifted towards more *involving* leadership:

“In the beginning, when I was asked, ‘How are you?’, my first answer was ‘busy.’ Then I suddenly realised, ‘Why is that of interest to employees, to hear that from me all the time?’ They just need attention or they just need anything particular from me.” (Middle Manager SHC)

The managers were uncertain about how their role and relationships with their employees would develop in the future. Currently, they felt that their role was that of an “employment agency” rather than a traditional line manager, and they experienced the municipalities treating them like “flex workers.”

The reactions of the middle managers to the behaviors and style of the top managers again illustrate the multi-level effect of the top managers' behaviors. In this case, the middle managers responded to gaps in the external elements of the change and the potentially negative impact of the predominantly *shaping* style of the top managers by adopting a different approach.

The employees agreed with the middle managers that the new processes were still unclear, and they experienced high levels of uncertainty, increased caseloads and more bureaucracy and paperwork, all of which had a negative impact on the quality of the care they could give as well as their own “joy of working.”

“Last week I came to the house of a man, an old man, and then I had to talk about what he needs in terms of housekeeping. After I left, I was so terribly sad because I just don't know anything about these matters. [...] How should I arrange this? [...] I have to fill out 26 forms, and there is nothing I know about this, and everybody is busy.” (Employee SHC)

Due to a lack of clarity, the employees talked about their desire to be provided with guidelines. They explained that they were not sure about their accountabilities and what their job should involve. In addition, they experienced uncertainties about the case processes. They felt that they had two bosses: SHC and the municipality. As was the case in the interviews with the middle and top management, the employees explained how SHC was becoming less significant to them.

“Because then you have our organisation that says, ‘We want to help you in your care work.’ [...] But then the municipality says, ‘We don't want your organisation to do that’ [...] then our managers say, ‘But we are supervising you,’ and the municipality says, ‘But we are paying you, so we are supervising you.’” (Employee SHC)

The majority of the employees in the focus groups indicated that they understood the purpose of the shift toward a more preventative approach and tended to be more aware of costs and of their new position in the district teams. However, they did not like the increased level of bureaucracy and the way in which the changes were being implemented by municipalities. The employees only partially supported the approach and increased accessibility to clients. In particular, the idea of activating a client's network was one that they believed was difficult to realize:

“This is really a shift of thinking in society, and we are not going to solve that with a talk [with the client] at the kitchen table. [...] Above all, we are dealing with clients for whom maintaining a network is problematic.” (Employee SHC)

Here, we see that the relationship between the levels, in terms of behaviors and outcomes, has a negative impact on the embeddedness of change behaviors at the microlevel as a result of the top managers' behaviors causing ambiguity at the middle management level.

5.3 | Case comparison and analysis

Based on the comparison of the two cases (see Appendix S1 for an overview of the most important characteristics) we observed that within SHC, top management *leadership* related to decisions about the structure, whereas in NHC, there was considerably more dialog among the managerial levels and caregivers. In the latter case, the top and middle managers provided general frameworks, and the caregivers were asked to develop their own solutions within these frameworks. To facilitate this, the management organized an intensive meeting schedule to meet with all employees. This approach can be described as a combination of *involving* and *engaging* leadership. Furthermore, it appears that management at NHC took a more proactive external approach and used *boundary-spanning* leadership behaviors, such as involving the municipalities in their vision of youth care. In this way, the top manager shaped the broader context of the organization in line with the desired change. Vice versa the top manager translated back the implications of these activities into the organization through framing the communication with caregivers. This illustrated how the alignment of behaviors across levels led to clear embedding of the change in terms of cognitive, affective, and behavioral components. In SHC, the leadership approach was more reactive, both internally and externally. Boundary-spanning behaviors by the top management seemed to be much more focused on following the model initiated by the municipalities. Consequently, many of the problems that occurred needed to be addressed by middle management. The dominant leadership approach can be described as *shaping*; focused on problem solving, monitoring, and a sometimes very detailed operational focus. In a later stage, middle managers and caregivers got more involved with top management in dialogs about the reform in response to some of the problems occurring during the reform process. At NHC, leadership behaviors were focused on organizational purpose, which was shared by caregivers. At SHC, a focus on organizational purpose seemed to be lacking, and employees reported a lack of clarity on the direction. Generally, we found more embedded change at NHC; employees understood and believed in the change and felt positive about it. Especially within the Prevent division, they felt that the change was going smoothly and that they were acting in line with the organizational purpose. At SHC, we did not find the change to be embedded. Employees mostly understood the reform but felt that the change process failed to work smoothly; they had little belief in the changes and often felt frustrated. Their behaviors were largely focused on daily concerns rather than broader change.

The two cases indicate that change leadership behaviors within an organization, such as categorized in Table 1, are important in translating public management sector reforms into embedded change among employees. Organizations deal differently with these issues. A consistent approach and style between managerial levels helped in achieving effective implementation. A participative approach (focus on *involving* and *engaging* leadership) was more successful than a top-down approach focused on *shaping* leadership. However, we also saw an important role of

boundary-spanning leadership, which is often ignored in the change management literature. When this was lacking at the top-management level, middle managers tried to compensate. The more successful approach seemed to arise when both levels of management were coherent in their approach to the outside world and translated the struggles with this outside world to the rest of the organization, resulting in more positive attitudes of caregivers. This illustrates the importance of a multilevel perspective.

In the case of NHC, we observed a coherent pattern of leadership behaviors (focusing on *involving*, *engaging* and *boundary spanning*), but the effect differed in the two divisions. Employees in both divisions understood and believed in the reasons for the change, but in the case of “Protect,” the organizational purpose did not fit the working reality. To an extent, this illustrates that context is an important component in understanding the impact of leader behaviors in change implementation. The consequence was more dissatisfaction with the various demands and new procedures of the municipalities within the “Protect” division. In the case of SHC, we observed a similar concern among employees, who even felt less confident about the effects of the entire reform. In that organization, there seemed to be no feeling of shared purpose.

We found that leadership behaviors can more successfully translate sector changes to the organization and embed change among employees when they are connected to a clear sense of organizational purpose and belongingness. This finding was unexpected. In the literature, there is a shared view that organizational purpose plays an important role in securing successful organizational outcomes (Avolio & Gardner, 2005). However, in the context of leadership per se, and change leadership in particular, this has rarely been explored (By, 2021).

6 | DISCUSSION AND CONCLUSION

The aim of this article was to contribute to the literature by studying the role of leadership behaviors in translating macrolevel change (government reforms) into organizational-level actions and engaging employees to embed the change. In answer to our research question, we found that the macro environment (context and content of the reform) were similar for both of the studied organizations. However, the way the two organizations dealt with the change at the *meso* level as well as its accompanying leadership behaviors were quite different, and this related to how the change was embedded at the micro level.

A first important contribution of this study is the introduction of the concept of change embeddedness. Based on the literature on change reactions and social embeddedness, we arrived at the following definition of change embeddedness: *a situation where members of a workgroup or team collectively have positive feelings about a change (affective), understand the change and think positively about it (cognitive) and have the intention to exhibit behavior in accordance with the desired change*. By applying a group-based approach (By et al., 2018), we avoided individual subjective responses (a common limitation of surveys with self-reported change attitudes), and were able to consider consistency among the three dimensions at the individual level, but also the consistency of these change reactions at the group level. This provided us with the opportunity to differentiate between organizations and explore relationships with observed change leadership behaviors.

A second contribution is about the role of leadership behaviors in implementing reform. It seems that especially a combination of involving and engaging leadership behaviors (Higgs & Dulewicz, 2016) together with boundary spanning behaviors (Yukl, 2012) by top managers and middle managers on meso-level are beneficial to interpret the macrolevel reform, take part in shaping the context and translate the reform inside the organization to mobilize others in the organization on microlevel and thereby contribute to change embeddedness. This finding makes a significant contribution to the literature by addressing the gap identified by Kuipers et al. (2014), who noted that many change management studies that focus on reform underemphasise the role of leadership within organizations. Furthermore, it illustrates the role of multilevel analyses in enhancing our understanding of leadership (Batistič et al., 2017), which is a third contribution of our study.

Although there is a critique in the literature of top leader-centric perspectives on change, we observe a crucial role of the experiences and behaviors of top managers. The way top leaders experience major reforms influences how they

respond to them (Cannella et al., 2008), which subsequently seems to have an effect on the embeddedness of change in terms of experience and behavior of others in the organization. Top leaders perform an important link by translating *macrolevel* factors to *mesolevel* policies and practices in their role as *boundary spanners* for the organization.

More specifically, we found that focusing on *shaping* leadership (Higgs & Rowland, 2011) related to increased perceptions of ambiguity and bureaucracy on the micro level. Our findings support the view that within the context of public sector reform, the adoption of an approach characterized by “managerialism” (Hood, 1991) leads to less effective change implementation. In NHC, proactive and more *engaging* leadership behaviors tended to ameliorate the ambiguity and uncertainties surrounding the *macrolevel* change at the micro level. Top leadership in NHC adopted a strategic and proactive stance in the change with a visible outward and inward focus, using *boundary-spanning* behaviors, which related to an alignment with the purpose of the reform of behaviors at both middle management and employee levels and therefore more embedded change. Indeed, the findings provide support for the common view that an approach to change that entails higher levels of involvement of front-line employees in decisions that impact their roles is more likely to lead to more embedded change (Higgs & Rowland, 2011). In addition, we found that there is a need for the alignment of leader behaviors between top- and middle-level managers to develop the embeddedness of the change.

Our findings help to extend a more internally oriented model for change leadership behaviors (cf. Higgs & Dulewicz, 2016), by including boundary-spanning behaviors for a more complete conceptualization. At the same time, our findings help to shed light on the particular role of boundary-spanning when applying the taxonomy by Yukl (2012) in a reform context (Pollitt & Bouckaert, 2017). These behaviors appear not only externally focused, but are useful in translating back managers' experiences and advancements in the environment into the organization thereby engaging others and enhancing change embeddedness.

Moreover, we found that increasing “purpose” and a sense of belonging was very important, which is a fourth contribution of our study. By developing a shared purpose that encompassed various values, NHC managed to effect the change (especially within their *Prevent* division). This is in line with conclusions by Van der Voet et al. (2017) who find that an experienced meaningfulness of the reform for both society and clients fosters change commitment among caregivers. In SHC, we observed a lack of top management focus on and effort in creating a sense of purpose for the *mesolevel* change following the *macrolevel* reform. Unlike the caregivers in NHC, those in SHC experienced more doubts about the possibility of making the reform work (in terms of empowering clients). Thus, our study suggests that leadership behaviors that show clear purpose are proactive and create bottom-up engagement, help to meet reform goals and maintain the identity of the organization and front-line workers' commitment. This is in line with other research in public administration (Tummers & Knies, 2013) and the leadership literature (Avolio & Gardner, 2005) that shows the importance of purpose and meaningfulness in organizations and its important role in securing successful outcomes.

6.1 | Limitations and areas for future research

As with any research, this study has a number of limitations. First, employing case study methods limits the generalizability of the findings (Blaikie & Priest, 2019; Yin, 2018). Further research that builds on these findings and employs a quantitative survey-based design would enhance our understanding of the way reform is implemented and its impact on employees' experiences and behaviors.

Second, there is a critique that the cross-sectional nature of much of the change research precludes consideration of the nature of the phenomenon over time (Pettigrew et al., 2001). We have attempted to ameliorate this issue by adopting a retrospective approach to both the interviews and the focus groups, in which we asked respondents to think back over the period of the change. Miles and Huberman (1994) emphasized the use of retrospective recall as an issue in interviewing. The problems associated with this are reduced to some extent by the use of a critical incident technique to encourage respondents, in both the interviews and focus groups, to provide as much detail as possible about actual situations they encountered.

Third, we applied a multilevel approach to consider the characteristics and relationships between the macro, meso, and micro levels of the reform, but were (apart from generally accessible information about the reform) mostly dependent on the interpretations and experiences of managers and caregivers about the meaning of the macrolevel of the reform. Of course, these experiences are valid as they also affected their behaviors and responses, yet future research would be helpful to study the relationships between all three levels by including perspectives of external stakeholders as well.

Fourth, the role of purpose in relation to change and leadership requires further study. Based on By (2021), we may conclude that so far the issue of purpose in relation to leadership has been neglected, but also requires different perspectives on leadership (such as through more shared models of leadership). Such perspectives were beyond the scope of our exploratory study and require attention in future studies putting purpose more central in the research question.

To conclude, with this study, we contribute to the literature related to the nature and impact of leaders' roles and behaviors in the context of reform as a large-scale change. We observe a direct link between leadership behaviors and the embeddedness of change among front-line employees. To enhance this embeddedness, public managers can play an important role by means of their leadership behavior in supporting the creation of a shared understanding of the purpose of the reform, and integrating this with the purpose of the organization.

ACKNOWLEDGMENT

The authors wish to thank Prof. Lars Tummers (Utrecht University) for his contributions to an earlier version of this paper.

DATA AVAILABILITY STATEMENT

The data are not publicly available due to privacy or ethical restrictions. The data that support the findings of this study are available upon reasonable request from the corresponding author and subject to the data regulations of Leiden University.

ORCID

Ben S. Kuipers  <https://orcid.org/0000-0003-0592-1709>

REFERENCES

- Armenakis, A.A., Harris, S.G. & Mossholder, K.W. (1993) Creating readiness for organizational change. *Human Relations*, 46(6), 681–703.
- Avolio, B.J. & Gardner, W.L. (2005) Authentic leadership development: getting to the root of positive forms of leadership. *The Leadership Quarterly*, 16(3), 315–338.
- Avolio, B.J., Walumbwa, F.O. & Weber, T.J. (2009) Leadership: current theories, research, and future directions. *Annual Review of Psychology*, 60, 421–449.
- Bhaskar, R. (1998) Philosophy and scientific realism. In: Archer, M., Bhaskar, R., Collier, A., Lawson, T. & Norrie, A. (Eds.) *Critical realism: essential readings*. London: Routledge, pp. 16–47.
- Batistić, S., Černe, M. & Vogel, B. (2017) Just how multi-level is leadership research? A document co-citation analysis 1980–2013 on leadership constructs and outcomes. *The Leadership Quarterly*, 28(1), 86–103.
- Blaikie, N. & Priest, J. (2019) *Designing social research: the logic of anticipation*. Cambridge: Polity Press.
- Butterfield, L.D., Borgen, W.A., Amundson, N.E. & Malio, A.-S.T. (2005) Fifty years of the critical incident technique: 1954–2004 and beyond. *Qualitative Research*, 5(4), 475–497.
- By, R.T. (2021) Leadership: in pursuit of purpose. *Journal of Change Management*, 21, 1–15.
- By, R.T., Kuipers, B. & Procter, S. (2018) Understanding teams in order to understand organizational change: the OTIC model of organizational change. *Journal of Change Management*, 18(1), 1–9.
- Cannella, B., Finkelstein, S. & Hambrick, D.C. (2008) *Strategic leadership: theory and research on executives, top management teams, and boards*. Oxford: Oxford University Press.
- Fernandez, S. & Rainey, H.G. (2006) Managing successful organizational change in the public sector. *Public Administration Review*, 66(2), 168–176.
- Ford, J.D. & Ford, L.W. (2012) The leadership of organization change: a view from recent empirical evidence. In: Shani, A.B.(R.), Pasmore, W.A. & Woodman, R.W. (Eds.) *Research in organizational change and development*, Vol. 20. Bingley: Emerald Group Publishing Limited, pp. 1–36.

- Gill, R. (2002) Change management—or change leadership? *Journal of Change Management*, 3(4), 307–318.
- Hair, J.F., Anderson, R.E., Tatham, R.T. & Black, W.C. (2002) *Multivariate data analysis*, 6th edition. Englewood Cliffs, NJ: Prentice Hall.
- Higgs, M.J. & Dulewicz, S.V. (2016) *Leading with emotional intelligence*. London: Palgrave Macmillan.
- Higgs, M.J. & Rowland, D. (2011) What does it take to implement change successfully? A study of the behaviors of change leaders. *The Journal of Applied Behavioral Science*, 39, 3, 309–335.
- Holt, D.T., Armenakis, A.A., Feild, H.S. & Harris, S.G. (2007) Readiness for organizational change: the systematic development of a scale. *The Journal of Applied Behavioral Science*, 43(2), 232–255.
- Hood, C. (1991) A public management for all seasons? *Public Administration*, 69(1), 3–19.
- Hughes, M. (2016) *The leadership of organizational change*. New York: Routledge.
- Karp, T. & Helgø, T. (2008). The future of leadership: the art of leading people in a “post-managerial” environment. *Foresight*, 10(2), 30–37.
- Kuipers, B.S., Higgs, M.J., Kickert, W.J.M., Tummers, L.G., Grandia, J. & Van der Voet, J. (2014) The management of change in public organisations: a literature review. *Public Administration*, 92(1), 1–20.
- Miles, M.B. & Huberman, A.M. (1994) *Qualitative data analysis*, 2nd edition. Thousand Oaks, CA: Sage.
- Morgan, D.L. (1996) Focus groups. *Annual Review of Sociology*, 22(1), 129–152.
- Oreg, S., Vakola, M. & Armenakis, A. (2011) Change recipients' reactions to organizational change: a 60-year review of quantitative studies. *The Journal of Applied Behavioral Science*, 47(4), 461–524.
- Pettigrew, A.M., Woodman, R.W. & Cameron, K.S. (2001) Studying organizational change and development: challenges for future research. *The Academy of Management Journal*, 44(4), 697–713.
- Piderit, S.K. (2000) Rethinking resistance and recognizing ambivalence: a multidimensional view of attitudes toward an organizational change. *Academy of Management Review*, 25(4), 783–794.
- Pollitt, C. & Bouckaert, G. (2017) *Public management reform: a comparative analysis into the age of austerity*. Oxford: Oxford University Press.
- Rafferty, A.E., Jimmieson, N.L. & Armenakis, A.A. (2013) Change readiness: a multilevel review. *Journal of Management*, 39(1), 110–135.
- Reay, T. & Hinings, C.R. (2009) Managing the rivalry of competing institutional logics. *Organization Studies*, 30(6), 629–652.
- Reichers, A.E., Wanous, J.P. & Austin, J.T. (1997) Understanding and managing cynicism about organizational change. *Academy of Management Perspectives*, 11(1), 48–59.
- Strauss, A.L. & Corbin, J. (1990) *Basics of qualitative research, grounded theory procedures and techniques*. Thousand Oaks, CA: Sage.
- Tummers, L.G. & Knies, E. (2013) Leadership and meaningful work in the public sector. *Public Administration Review*, 73(6), 859–868.
- Van der Voet, J., Kuipers, B. & Groeneveld, S. (2015) Held back and pushed forward: leading change in a complex public sector environment. *Journal of Organizational Change Management*, 28(2), 290–300.
- Van der Voet, J., Steijn, B. & Kuipers, B.S. (2017) What's in it for others? The relationship between prosocial motivation and commitment to change among youth care professionals. *Public Management Review*, 19(4), 443–462.
- Van der Wal, Z. (2017) *The 21st century public manager*. London: Macmillan International Higher Education.
- Van Emmerik, H. & Sanders, K. (2004) Social embeddedness and job performance of tenured and non-tenured professionals. *Human Resource Management Journal*, 14(1), 40–54.
- Vogel, R. & Masal, D. (2015) Public leadership: a review of the literature and framework for future research. *Public Management Review*, 17(8), 1165–1189.
- Vogel, R. & Werkmeister, L. (2021) What is public about public leadership? Exploring implicit public leadership theories. *Journal of Public Administration Research and Theory*, 31(1), 166–183.
- Yin, R.K. (2018) *Case study research: design and methods*. Thousand Oaks: SAGE Publications Incorporated.
- Yukl, G. (2012) Effective leadership behavior: what we know and what questions need more attention. *The Academy of Management Perspectives*, 26(4), 66–85.
- Zhu, J., Song, L.J., Zhu, L. & Johnson, R.E. (2019) Visualizing the landscape and evolution of leadership research. *The Leadership Quarterly*, 30(2), 215–232.

SUPPORTING INFORMATION

Additional supporting information may be found in the online version of the article at the publisher's website.

How to cite this article: Higgs, M. J., Kuipers, B. S., & Steijn, B. (2023). Change leadership and change embeddedness in public organizations: Connecting macrolevel reform to microlevel implementation. *Public Administration*, 101(3), 902–916. <https://doi.org/10.1111/padm.12833>